

**Time:** 5 minutes**Outcome:** Distinguish binding and nonbinding ceilings and analyze shortages and rationing.**Difficulty:**

●●○ Intermediate

Price Ceilings



THE CORE IDEA

A price ceiling sets a legal maximum price and is binding only when it lies below the market equilibrium price. A binding ceiling keeps price from rising to equilibrium, so quantity demanded exceeds quantity supplied and a shortage develops. A ceiling at or above equilibrium is nonbinding because the market can still reach its equilibrium price.



HOW TO RECOGNIZE IT

- Compare the legal maximum price with the market equilibrium price.
- A ceiling below equilibrium is binding and creates excess demand.
- At the ceiling price, read quantity demanded and quantity supplied; their difference is the shortage.
- A ceiling at or above equilibrium is nonbinding and does not change the market outcome.

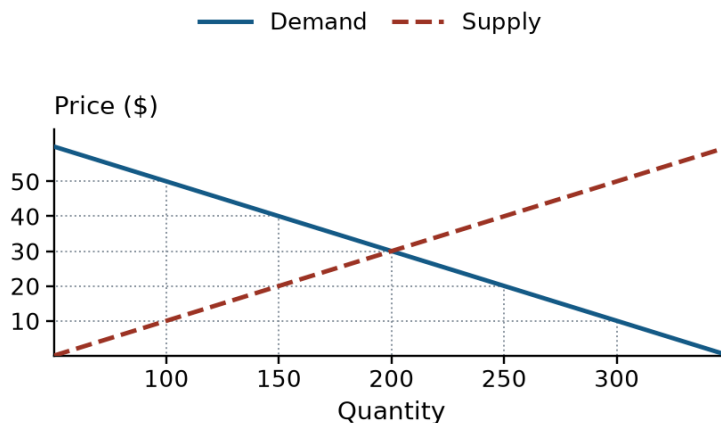


WATCH OUT

A common mistake is to assume that every price ceiling is binding. A price ceiling above equilibrium is not binding. Since \$40 is above the \$30 equilibrium price, it does not affect the market.



WORKED EXAMPLE: BINDING PRICE CEILING



The market equilibrium is \$30 and 200 units. A binding ceiling of \$20 holds price below equilibrium; buyers demand 250 units while sellers supply 150. The resulting shortage is $250 - 150 = 100$ units, so some willing buyers cannot purchase at the controlled price.



CHECK YOURSELF

At a binding price ceiling, $Q_d = 90$ and $Q_s = 60$. What is the shortage?

**READY?**

Return to the game and master this concept.